

Economics

Higher level

Paper 2 – Mark Scheme

SME Predicted Paper – Hard

General marking guidance:

- Answer ONE question only (Q1 or Q2). This mark scheme gives full indicative content for both.
- Award marks for correct final answers AND for correct working. Accept valid alternative methods.
- Numerical answers should be given exactly or to 2 decimal places unless otherwise specified.
- For 4-mark diagram-based parts (c)–(f): award 1 mark for a correct fully-labelled diagram, 1 for identification of the economic mechanism, 1 for clear explanation of the mechanism, and 1 for explicit linkage to the text/data.
- For 15-mark Part (g): apply the level descriptors provided at the start of each question. Balance, synthesis of text/data, and a clear reasoned judgement are required for Level 4.

Question 1 [40 marks] — Turkey – Inflation, the lira and unorthodox monetary policy

(a)(i) Define policy interest rate [2]

1 mark: The interest rate set by the central bank that influences short-term market interest rates.

1 mark: Used as the main instrument of monetary policy — in Turkey, the CBRT's one-week repo auction rate — to influence lending, spending and inflation.

(a)(ii) Define informal sector [2]

1 mark: Economic activity that is not regulated, registered or taxed by the government.

1 mark: Workers in this sector often lack formal contracts, social protection and are excluded from official GDP and employment statistics.

(b)(i) % change in TRY/US\$ exchange rate, 2013–2022 [3]

1 mark: Formula: $(16.55 - 1.90) / 1.90 \times 100$.

1 mark: Correct substitution and working shown.

1 mark: Final answer = 771.05% increase (the lira has depreciated; accept 771% or 770.5%).

(b)(ii) Ratio of 2022 inflation to 2022 policy rate [2]

1 mark: $72.3 / 9.00$.

1 mark: = 8.03 (to 2 dp). Interpretation (optional): real policy rate is deeply negative — a clear indicator of monetary policy looseness.

(c) AD/AS diagram — lira depreciation and inflation [4]

1 mark: Correctly labelled AD/AS diagram showing SRAS shifting left (imported inflation) and/or AD shifting right (cheaper exports).

1 mark: Identifies cost-push and/or demand-pull mechanism via exchange-rate pass-through.

1 mark: Explains — imported input costs rise when the lira falls → higher marginal cost → price level rises.

1 mark: Link — lira down 40% in 2021 and 30% in 2022 (Text B Para 1); inflation reached 85% in October 2022.

(d) FX diagram — deposit dollarisation and the lira [4]

1 mark: Correctly labelled FX diagram (TRY) showing demand for \$ increasing / supply of TRY increasing.

1 mark: Identifies dollarisation as households selling TRY to buy \$ (reducing demand for TRY / increasing its supply).

1 mark: Explains self-reinforcing mechanism — weaker lira raises expected further depreciation → more dollarisation → still weaker lira (a negative feedback loop).

1 mark: Link — 60% of deposits in FX by late 2022 (Text B Para 2); contingent liability of the FX-protected deposit scheme.

(e) AD/AS — policy-rate cut with rising inflation [4]

1 mark: Correct AD/AS diagram — AD shifting right due to cheaper credit.

1 mark: Identifies that a rate cut reduces the cost of borrowing, stimulating consumption and investment.

1 mark: Explains that when the economy is already overheating or facing cost-push inflation, a rate cut amplifies inflation and can depreciate the currency further, worsening the problem.

1 mark: Link — rate cut from 14% to 8.5% (Text A Para 3) while inflation surged — the 2023 reversal is evidence of policy failure.

(f) Phillips curve — stagflation-like outcome [4]

1 mark: Correctly labelled short-run Phillips curve (y-axis inflation, x-axis unemployment).

1 mark: Identifies that high inflation AND high unemployment simultaneously corresponds to a rightward shift of the Phillips curve (not a movement along it).

1 mark: Explains that expectations-augmented PC shifts outward when expected inflation rises; supply shocks also shift PC out.

1 mark: Link — 2022 data: inflation 72.3% + unemployment 10.5% (youth 20%); outward shift captures cost-push + entrenched expectations.

(g) Evaluate: policy options to restore macroeconomic stability [15]

Band descriptors. Part (g) is marked using the following band descriptors out of [15]:

0 marks — No relevant economic content.

1–5 marks (Level 1): Little understanding of the specific demands of the question. Few relevant economic concepts identified. Little use of economic terminology. No/irrelevant use of text/data. No/unclear evaluation.

6–9 marks (Level 2): Some understanding of the specific demands of the question. Relevant economic concepts identified and explained with some accuracy. Some use of appropriate terminology. Some limited use of information from text/data. Some evaluation is attempted but may be superficial, one-sided, or unsupported.

10–12 marks (Level 3): Good understanding of the specific demands of the question. Relevant economic theories are explained and applied with accurate use of economic terminology. Clear use of information from the text/data in support of the answer. Evaluation is present and reasonably developed, considering more than one perspective.

13–15 marks (Level 4): Clear understanding of the specific demands of the question. Relevant economic theories are explained and applied accurately and effectively, supported by diagrams where appropriate. Effective and synthesised use of the text/data to support and illustrate the argument. Evaluation is balanced, well-supported, weighs stakeholders and short- vs long-run effects, and reaches a reasoned conclusion (judgement / prioritisation).

Indicative content (not exhaustive):

Monetary tightening — raise policy rate decisively above inflation; re-anchor expectations; reduce dollarisation. Evaluation: post-2023 reversal (to 25% by end-2023) is evidence this is happening.

Fiscal consolidation — address contingent liability of the FX-protected scheme; tax reforms; reduce deficit.

Exchange rate — allow freely floating lira; rebuild reserves; credible forward guidance.

Supply-side reforms — labour-force participation (only 35% for women); informal sector formalisation; FDI attraction.

Risks — a sudden stop of capital inflows; political resistance; short-run recession.

Judgement — a coordinated package (rate hikes + credible fiscal anchor + exchange-rate flexibility + structural reform) is needed. Monetary policy alone insufficient.

Question 2 [40 marks] — Indonesia – Nickel export ban and the EV opportunity

(a)(i) Define export restriction [2]

1 mark: A government-imposed measure that limits or prohibits the export of specified goods.

1 mark: May take the form of a complete ban, a quota, an export tax, or a licensing requirement; aim is often to retain raw materials for domestic processing or for strategic/environmental reasons.

(a)(ii) Define Gini coefficient [2]

1 mark: A statistical measure of income inequality that takes values between 0 (perfect equality) and 1 (perfect inequality).

1 mark: Calculated from the Lorenz curve — the ratio of the area between the line of equality and the Lorenz curve to the total area beneath the line of equality.

(b)(i) % change in manufacturing share of GDP, 2014–2022 [3]

1 mark: Formula: $(18.3 - 21.1) / 21.1 \times 100$.

1 mark: Correct working shown.

1 mark: Final answer = -13.27% (accept -13% to -13.3%; a decline).

(b)(ii) Average real GDP growth 2014/2018/2022 [2]

1 mark: $(5.0 + 5.2 + 5.3) / 3$.

1 mark: = 5.17% (to 2 dp).

(c) AD/AS diagram — infrastructure spending and long-run growth [4]

1 mark: Correctly labelled AD/AS diagram with LRAS shifting right (and SRAS in the short run).

1 mark: Identifies infrastructure as enhancing productive capacity and reducing transport costs.

1 mark: Explains mechanism — supply-side effect (LRAS right) raises potential output; AD effect in short run from construction activity.

1 mark: Link — Jakarta–Bandung high-speed rail; US\$33bn new capital Nusantara (Text B Para 2); 24% higher logistics cost versus peers (Text B Para 1).

(d) Export-ban / S&D diagram — nickel market [4]

1 mark: Correctly labelled diagram of Indonesian nickel ore market — supply curve unchanged, but domestic price falls below world price once exports are banned (or shows a rightward shift of domestic supply available for domestic processors).

1 mark: Identifies the mechanism — foreign demand removed; excess domestic supply lowers domestic price of ore.

1 mark: Explains consequence — domestic smelters/processors gain from lower input costs (positive for downstream industry and FDI); producers of raw ore face lower prices (a transfer from upstream to downstream).

1 mark: Link — >US\$20bn FDI into processing since 2020; WTO challenge by EU (Text A Para 4).

(e) Externalities diagram — nickel mining welfare loss [4]

1 mark: Correctly drawn negative production externality diagram ($MPC < MSC$) with welfare-loss triangle shaded.

1 mark: Identifies environmental externalities — deforestation, water pollution in Sulawesi/Maluku.

1 mark: Explains that $MSC > MPC$ because producers ignore environmental costs; quantity produced exceeds social optimum.

1 mark: Link — Text B Para 4 — civil society warnings that EV boom risks replicating commodity-cycle harms.

(f) FX diagram — current account surplus and the rupiah [4]

1 mark: Correctly labelled FX diagram (rupiah) with demand for rupiah increasing / supply of \$ increasing.

1 mark: Identifies that a CA surplus means net foreign-currency inflow.

1 mark: Explains the mechanism — higher demand for rupiah → appreciation.

1 mark: Link — surplus of +1.0% of GDP in 2022 (Text B Para 5); risk that commodity normalisation reverses the gain.

(g) Discuss: nickel export ban as a long-run development strategy [15]

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Indicative content (not exhaustive):

FOR — attracts downstream processing FDI (>US\$20bn); climbs the value chain (batteries, EVs); generates higher-skilled employment; lessens commodity dependence.

AGAINST — WTO-inconsistent; retaliation risk; environmental degradation (deforestation, water pollution); benefits may accrue disproportionately to foreign investors; danger of rent-seeking.

Context — manufacturing stagnation (21% → 18% of GDP); poverty falling slowly (11.3% → 9.5%); Gini persistently ~0.38.

Alternatives — targeted industrial policy without outright bans; environmental pricing; investment in skills; transparent contracting for FDI.

Judgement — effective only if paired with robust environmental governance and trade-dispute management; otherwise the long-run gains from value-chain upgrading may be offset by environmental and diplomatic costs.